

Housing Affordability and Homelessness in Spanish Cities

Group Report 04.09.2026

1 News Article

We selected the Reuters article *"Housing crisis in Spain's cities drives rise in homelessness as tourism booms"* written by Corina Pons and published on 11 July 2024.



Figure 1: Screenshot of the original article.

This article describes Spain's growing housing crisis. Social housing hasn't kept pace with demand, while short-term tourist rentals have expanded and long-term rental availability has decreased. Reuters reports that homelessness has increased by 24% since 2012 and that social housing represents only around 1.5% of Spain's housing stock.

The original article is available at:

<https://www.reuters.com/world/europe/housing-crisis-spains-cities-drives-rise-homelessness-tourism-booms-2024-07-11/>

2 The Societal Challenge

The societal challenge described in the article is the lack of affordable housing and the resulting increase in homelessness in Spain.

It explains that many people cannot afford the increasingly high rental prices in cities such as Madrid. Spain has a relatively small social-housing sector, with social housing accounting for only around 1.5% of housing, compared with approximately 9% across the EU.

We are interested in this topic because housing is a basic need that affects everyone. Young people in particular can experience difficulties moving out of their parents' homes and finding affordable accommodation. Also something I came across while looking for places to visit with the family a few years back.

Several different stakeholders are affected by this challenge:

- **Homeless people** - they are directly affected by the lack of affordable housing.
- **Low-income households** - high rents can take up a large proportion of their income.
- **Young people and students** - they may struggle to move out of their family home.
- **Local residents and renters** - they can face increasing rents and competition for housing.
- **Property owners and landlords** - benefit from long-term or short-term rentals.
- **Tourists** - they depend on short-term accommodation.
- **Tourism businesses and rental platforms** - companies benefit from the rental market.
- **Local and national governments** - governments responsible for housing regulations.

3 Scientific articles on this topic

3.1 Short-term Rentals and Housing Affordability

Ouasbaa and Raya(2026)[1] investigate in this article Airbnb and other platform rentals in Barcelona and analyze their impact on the long-term housing market. It finds that higher short-term rental density increases long-term rentals: a 1% increase in short-term rental density was associated with approximately a 0.24% increase in rents.

This article is relevant because it provides evidence that tourist accommodation can contribute to housing affordability problems and make it more difficult for locals to find affordable housing.

3.2 Regulating Short-term Rentals

Gyódi, Mazur, and Cocola-Gant(2025)[2] look into the effectiveness of short-term rental regulations in Barcelona. This research article combines Airbnb data from 2015–2023, spatial and time-series analysis and stakeholder interviews.

The article is relevant to our topic because rentals can reduce housing available to long-term residents and contribute to housing affordability problems and excessive tourism. The study demonstrates that regulations also requires continuous enforcement and data sharing between authorities and rental platforms.

The authors found that the most changes happened after the municipality obtained access to Airbnb data through a data sharing agreement in 2018. After the implementation of stronger

regulations, illegal listings declined, and the authors estimate that without regulation Barcelona could have had nearly 20,000 short-term rental listings rather than 10,700.

3.3 Social housing and homelessness

Martín-Fernández, J.-Á., Martínez-Cantos, J.-L., & Panadero Herrero, S. (2024)[3]. “Evaluación de un programa Housing First: buscando una solución viable para transformar la vida de las personas sin hogar.” *Revista Española de Sociología*, 33(2), a226. DOI: 10.22325/fes/res.2024.226. English title: Evaluating a ‘Housing First’ programme: looking for a viable solution to transform the lives of homeless people.

This research is useful because it investigates Housing First, an approach that provides permanent housing to people experiencing homelessness rather than requiring them to solve other problems before receiving housing.

The study evaluated Spain’s Hábitat programme using a controlled research design. This article is relevant because it helps us think about possible solutions, rather than only describing the problem. It suggests that providing stable housing can be an important part of helping people experiencing long-term homelessness.

3.4 Stigma, homelessness and healthcare

Marta Llobet-Estany, Mercedes Serrano-Miguel, Araceli Muñoz, Adela Boixadós-Porquet & Belén Campomar (2024)[4] investigate the experiences of people with histories of homelessness in the healthcare system after participating in the *Primer la Llar* Housing First program in Barcelona.

The study found that having stable housing generally had positive effects on the participants health and well being. However, the study also found that some participants continued to experience stigma and discriminatory attitudes in healthcare and other institutions due to their history of homelessness.

This article is relevant to our societal challenge because it shows that providing housing is an important part of addressing homelessness, but housing alone may not solve all the problems associated with homelessness. People who have experienced homelessness may continue to face issues to healthcare and social integration due to stigma. Therefore, long-term solutions should not only focus on providing affordable and stable housing, but also on reducing discrimination and improving the way institutions and society support people who have experienced homelessness.

4 Conclusion

The four scientific articles show that housing affordability and homelessness in Spain are connected to several different aspects of urban life. The research suggests that the problem is not caused by a single thing, but by the combination of housing supply, tourism, regulation, and the availability of social housing.

First, the studies by Ouasbaa and Raya and by Gyódi, Mazur and Cocola-Gant, show how the growth of short term rentals can put additional pressure on the long term housing market. Higher concentrations of short term rentals are associated with higher rents, while the case of

Barcelona demonstrates that regulations and access to data can help reduce illegal short term rental activity[1, 2]. This suggests that effective regulation can be an important part of protecting housing for local residents.

The studies on Housing First demonstrate another important part of the challenge, Martín-Fernández, J.-Á., Martínez-Cantos, J.-L., & Panadero Herrero, show that providing stable housing can improve outcomes for people experiencing homelessness [3]. However, Marta Llobet-Estany, Mercedes Serrano-Miguel, Araceli Muñoz, Adela Boixadós-Porquet & Belén Campomar show that stable housing does not necessarily remove all the difficulties associated with homelessness. Participants in Housing First programs generally experienced improvements in health and well being, but some continued to experience stigma and discrimination in healthcare and other institutions [4].

Together, these findings suggest that addressing homelessness require both prevention and support. Increasing the availability of affordable and social housing and regulation short term rentals can help reduce housing insecurity, while programs such as Housing First can provide support for people who have already experienced homelessness [1, 2, 3]. They also suggest that support shouldn't end when someone obtains housing since social stigma and difficulties with institutional support can continue to affect people's lives [4].

In conclusion, the housing crisis in Spain should not be viewed as a problem of homelessness, but as a broader issue of housing affordability and social inclusion. A long term solution requires policies that increase access to affordable housing, balance the interests of tourism and local residents, effectively regulate the housing market, and provide continued social support for people experiencing homelessness. The evidence from these studies suggests that no single intervention is sufficient, and that it requires a combination of prevention, regulation, affordable housing and long term support.

References

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